



Metrics, Traction & AI — Building Your 2026 Growth Strategy

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Agenda

- Your startup pitch
- Traction 101

15 min break

- How to track your progress

15 min break

- In-depth customer traction

10 min break

- AI to the Rescue

Your startup pitch



Your startup pitch - 3 min

1. Your name
2. Your product's value prop
3. Your MVP

Traction 101



Traction



Traction

Traction refers to the measurable progress your startup makes.

Measuring traction is **essential** to objectively assess your progress and make strategic decisions.





Traction examples

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We've built a prototype of our product, recruited an engineer from the leading company in our industry, and tested with 1,000 active users.

How to track your progress



How to track your progress

1. Establish Clear Goals and Objectives
2. Regularly Monitor and Analyze Metrics
3. Benchmark Against Industry Standards
4. Use Data Visualization Tools



Common pitfalls to avoid

- Too many metrics
- Vanity metrics over value metrics
- Neglecting customer journey
- Overlooking customer feedback
- Lack of alignment with business goals



Your best friend Excel



Key metrics

Monthly Recurring Revenue (MRR)

Daily Active Users (DAU)

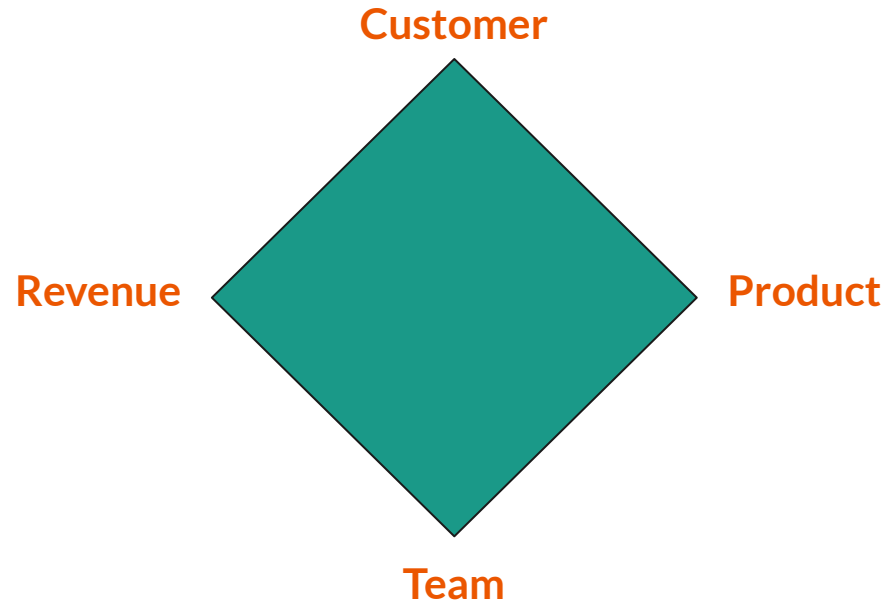
Conversion Rate | Churn Rate | Retention Rate | Engagement Rate

Customer Acquisition Cost (CAC) | Lifetime Value (LTV)

Net Promoter Score (NPS)



Key areas





Customer traction

Multiple customer stages

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750 people (30%) have signed up for our “Pizza Your Face” weekly Newsletter to get updates on how to create delicious pizza at home. This shows a high intent to engage our message and product on a weekly basis.



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100 people (2.5%) have begun our home trial for getting our pizza ingredients shipped directly to them. This indicates a strong interest in actually using our product first hand.



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How much will they pay? *Price point*

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On average our customer payments have recurred **3** times, giving us an average yield of **€76**. Not only will people pay, but they will also keep paying which demonstrates there is consistent value.

In-depth customer traction



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Churn and retention rate

(no. of lost customers at end of year ÷ no. of total customers at start of year) x 100

(remaining customers at end of year ÷ total customers at start of year) x 100



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Size-Based Cohorts

*grouping based on based on the customer
size, such as startups, small businesses, and
enterprise-level organizations*

AI to the Rescue



Startup in a crisis

Our startup developed a B2B productivity tool.

Problem: we have great vanity metrics (high website traffic, high signups) but terrible traction.

- Signups: 2,000/month (growing 10% MoM)
- Activation: Only 15% of users complete onboarding.
- Retention: 60% of users churn after Month 1.
- Runway: 6 months left.

Task: you are hired as a new growth lead, the CEO is panicking.

How are you going to use AI to diagnose exactly why users are leaving and propose a fix?



Step 1: The diagnosis

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Bad prompt

"How do I fix retention?"



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Great prompt

"Act as a Senior Product Manager. I am uploading my cohort analysis data below:

- 1. Identify the exact 'Drop-off Cliff' (the day/week where we lose the most users).*
- 2. Correlate this drop-off with our user journey map.*
- 3. Hypothesize why users are churning specifically at this point based on B2B industry benchmarks."*



Step 2: The solution engine

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Input metric experiment

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*"Based on the above info create input metric
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Great prompt

"Based on the diagnosis that users churn because they don't invite colleagues:

- 1. Propose 3 'Low-Code' growth experiments to increase the 'Colleague Invite Rate' (Input Metric).*
- 2. Draft the exact copy for an in-app modal to appear on Day 2 triggering this action.*
- 3. Estimate the potential lift in LTV (Lifetime Value) if retention improves by 10%."*



Key takeaways

1. **Context is King:** AI needs your specific cohort data, not generic questions.
2. **Role Prompting:** Tell the AI to be a "Data Scientist" or "Growth Marketer" to change the quality of the output.
3. **Iterate on Inputs:** Use AI to focus on Input metrics (actions you can control) rather than Output metrics (Revenue).



Prompts to start with

Task	Bad prompts	Great prompts
Analyzing data	"Look at this spreadsheet and tell me what's wrong."	"Act as a Data Scientist. Analyze this CSV for Month 1 retention cohorts. Flag any anomalies compared to SaaS industry standards."
Brainstorming	"Give me marketing ideas."	"Using the 'ICE Framework' (Impact, Confidence, Ease), score 5 growth experiments focused solely on increasing User Activation."
Execution	"Write an email to users."	"Draft a behavioral email sequence for users who stalled at Step 2 of onboarding. Use Cialdini's principle of 'Social Proof' in the subject line."



Resources

1. *Measuring startup traction: Essential guidelines and must-have metrics - an article by Pitchdrive Academy*
2. *Measuring MVP Success with key performance indicators - an article by FasterCapital*
3. *18 types of MVP that won't break the bank - an article by Robot Mascot*
4. *Startup traction: How to talk about one when you have none - an article by Waveup*
5. *Startup traction - an article by Startups.com*
6. *Customer lifecycle touchpoints - an article by Userlane*
7. *What is customer activation and why does it matter - an article by Hotjar*
8. *7 customer activation metrics to boost your product's stickiness - an article by Hotjar*
9. *Cohort analysis: A startup's secret weapon - an article by Pitchdrive Academy*
10. *A KPI dashboard for early-stage SaaS startups - an article by Christoph Janz*
11. *How to build a startup - an Udacity course by Steve Blank and Kathleen Mullaney*
12. *Disciplined entrepreneurship, 2nd edition - a book by Bill Aulet*